

SavePredictedExams — SME

Economics

Higher level

Paper 3

SME Predicted Paper Set — Hard

1 hour

Instructions to candidates

- Do not open this examination paper until instructed to do so.
- You are permitted access to a calculator for this paper.
- Answer **all** questions.
- Answers must be written within the answer boxes provided.
- Unless otherwise stated in the question, all numerical answers must be given exactly or correct to two decimal places.
- You must show all your working.
- Use fully labelled diagrams where appropriate.
- The maximum mark for this examination paper is **[60 marks]**.

1. Coffee is one of the most widely traded commodities in the world. Vietnam is the second-largest coffee producer globally, with approximately 600,000 smallholder farmers operating in what can be modelled as a **perfectly competitive** industry. Figure 1 illustrates the average cost (AC) and marginal cost (MC) of Firm X, a representative Vietnamese coffee farmer. The prevailing world price for robusta coffee is \$4.00 per kg.

Output (000 kg / month)	AC (\$ / kg)	MC (\$ / kg)
20	5.60	2.40
30	4.00	2.70
40	3.20	3.20
50	2.90	4.00
60	3.00	5.00
70	3.30	6.30
80	3.80	7.80

(a) (i) Outline **two** assumptions underlying the model of perfect competition. [2]

(ii) Using Figure 1, identify Firm X's short-run profit-maximising output. [1]

(iii) Using Figure 1, calculate Firm X's short-run economic profit at the level of output identified in (a)(ii). [2]

(iv) Identify the long-run equilibrium price and output for Firm X. [2]

(v) Explain, using a diagram, how Firm X will move from short-run equilibrium to long-run equilibrium. [4]

Intensive coffee cultivation depletes soil nutrients and generates negative externalities estimated at **\$0.80 per kg** produced. Vietnam's total robusta coffee output in 2023 was 1.8 billion kg.

(vi) Calculate the total external cost generated by Vietnamese coffee production in 2023. [2]

(vii) Define the term **productive efficiency**. [2]

Research indicates that at a world price of \$4.00/kg, a 10% rise in price leads to a 4% fall in quantity demanded for Vietnamese coffee.

(viii) Calculate the price elasticity of demand (PED) for Vietnamese coffee and interpret your result. [2]

(ix) Distinguish between **allocative efficiency** and **productive efficiency**. [2]

(b) Using the text/data provided and your knowledge of economics, **recommend** a policy that the Vietnamese government could introduce to address the negative externalities associated with coffee production while supporting smallholder incomes. [10]

2. Turkey is an emerging-market economy straddling Europe and Asia. In recent years it has experienced persistent inflation, a volatile exchange rate, and an enduring **current account deficit**. Table 1 contains selected data from Turkey's balance of payments for 2023.

Item	Value (US\$ billion)
Exports of goods	256.0
Imports of goods	–362.0
Exports of services	105.0
Imports of services	–46.0
Net primary income	–14.0
Net secondary income	+5.0
Net capital account	+1.0
Net financial account	+51.0

- (a) (i) Define the term **current account deficit**. [2]
- (ii) Using the data in Table 1, calculate Turkey's **balance of trade in goods** for 2023. [2]
- (iii) Using the data in Table 1, calculate Turkey's **current account balance** for 2023. [2]
- (iv) State **one** component of the financial account of the balance of payments. [1]
- (v) Explain **two** consequences of a persistent current account deficit for an economy. [4]

In January 2023 the exchange rate was 18.80 TRY / USD. By December 2023 it had reached 29.50 TRY / USD.

- (vi) Calculate the percentage change in the value of the Turkish lira against the US dollar during 2023. [2]
- (vii) Outline the meaning of the term **depreciation**. [2]
- (viii) Explain, using a diagram, how a depreciation of the Turkish lira may affect Turkey's current account balance in the long run. [4]

PED of Turkish exports = –0.8. PED of Turkish imports = –0.5.

- (ix) State whether the Marshall-Lerner condition is satisfied and give a brief explanation. [2]

(b) Using the text/data provided and your knowledge of economics, **recommend** a policy that the Turkish government could introduce to reduce the current account deficit. [10]